



Reading economic indicators

Using a few key indicators of performance, governments can monitor how parts of the economy are working and whether there are potential problems ahead. However, such indicators must be read with care.

Measuring performance

Indicators are usually shown as the rate of change over time, because the economy is very dynamic. But this means indicators are only estimates, based on surveys taken at a particular point in time.



Inflation

This is how quickly prices are rising on average. Inflation is typically defined according to the percentage increase in price of a "basket of goods," which is selected by looking at what products people typically buy over a year.

Growth

This is measured by the growth of "Gross Domestic Product." GDP is the total value of all of the goods and services produced by a country in one year.

